Coercion to pay taxes

Coercion can be used to force people to pay taxes, thus creating a resource base for expenditure.

The objective of modified behaviour and the objective of raising taxes can be interlinked. The state can tax a certain behaviour in order to deter it, e.g., taxing cigarettes. Subsidies can also be delivered to taxpayers in this fashion, e.g., through a favourable tax treatment of purchases of infrastructure bonds. In both cases, these adaptations of tax policy also require authorization in law. In both cases, the design of the tax system is used to modify incentives, and thus behaviour.

Using budgetary resources to produce public services

The state can use its budgetary resources in order to directly run production of certain services within a government organization, e.g., monetary policy or the police.

Expenditure programmes require the authorization of the legislature through the Finance Act.

Using budgetary resources to give out subsidies

The state can subsidize certain activities, e.g., if you install rooftop solar equipment, the state can pay part of your capital expenditure. Similarly, education vouchers leave the school choice decision to parents, and state financing flows to the school chosen by parents.

Research and higher education produce externalities, which justifies public resourcing, but this resourcing is generally devoted to high externality areas (e.g., research in all areas, or fields such as philosophy or mathematics) and not the areas with low externalities (professions such as